


FIIB | FOUNDATIONS OF AI IN BUSINESS | LEARNING TEAM 5

# BYJU'S: Governing High-Stakes Spending Decisions

*A defensible, evidence-based procedure for marketing, sponsorship and expansion commitments*

From spending risk to evidence-backed managerial decision-support

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# INSIGHT | THE SPENDING PROBLEM IS REAL — BUT THE GOVERNANCE GAP IS THE ISSUE

### FINANCIAL PRESSURE

FY22 expenses: ₹13,668 Cr vs ₹5,298 Cr revenue.

### LOSS ESCALATION

Net loss increased from ₹4,564 Cr in FY21 to ₹8,245 Cr in FY22.

### MARKETING / SPONSORSHIP EXPOSURE

₹8,029 Cr advertising spend across FY16–FY22; major celebrity and sports commitments were also reported.

### DECISION-GOVERNANCE GAP

Major spending decisions lacked a consistent evidence-based pre-commitment gate covering cost, benefit, competition and demand evidence.

***The evidence supports a governance gap; it does not prove that every individual spending decision caused financial distress.***

*Source: BYJU'S Learning Team 5 Evidence Register + Session 5 Evidence Building Working Document.*

# PROBLEM | MANAGEMENT NEEDS A DEFENSIBLE SPENDING DECISION GATE

*BYJU'S finance and leadership team lacked a consistent, evidence-based procedure to assess significant marketing, sponsorship and expansion decisions before committing funds.*

### 1. MARKETING SPEND

Test proposed spend against revenue, expected benefit and prior evidence.

### 2. SPONSORSHIP

Review high-value celebrity and sports commitments with evidence and uncertainty visible.

### 3. EXPANSION

Assess market-entry and acquisition commitments before funds are committed.

### 4. CUSTOMER / TRUST

Include demand, customer-trust and regulatory evidence where relevant.

***"Would the proposed commitment still be defensible if finance had to show the evidence before approval?"***

*Decision owner: BYJU'S Finance & Leadership | Agent role: Decision support, not decision maker*

# EVIDENCE | FROM QUESTION TO VERIFIABLE SPENDING DECISION

**1. THINK**
Identify the evidence needed to test the spending-governance problem.

**2. CHALLENGE**
Use AI to challenge the list and expose missing evidence.

**3. DECIDE**
Human team accepts, modifies or rejects AI recommendations.

**4. FIND**
Locate the actual reports, filings, rulings and primary evidence.

**5. VERIFY**
Cross-check sources and preserve evidence limitations.

| 12 | 5 | 5 | 2 |
|---|---|---|---|
| Evidence Requirements | Verified | Found / Limited | Open / Inaccessible |

*AI helped expand and refine the evidence requirements, but AI-generated suggestions did not enter the evidence base without human judgement and verification.*

***Evidence quality determines decision quality.***

# EVIDENCE | WHAT THE AVAILABLE BYJU'S DATA ACTUALLY TELLS US

## SUPPORTED BY EVIDENCE

- FY21–FY22 expenses exceeded revenue. Net loss rose from ₹4,564 Cr to ₹8,245 Cr. FY22 expenses reached ₹13,668 Cr against ₹5,298 Cr revenue. Advertising spend was ₹8,029 Cr across FY16–FY22. WhiteHat Jr and Osmo were reported as contributing ~45% of FY22 losses.




***The diagnosis must separate FACT from INFERENCE, LIMITED evidence and UNKNOWN.***

*Source: BYJU'S Learning Team 5 Evidence Register + approved evidence files.*

# EVIDENCE → IPES | FIVE REQUIREMENTS FOR A USEFUL SPENDING-GOVERNANCE AGENT

**01** **CAPTURE THE PROPOSAL INPUTS**

Cost, expected benefit, market, customer evidence and strategic rationale.

**02** **PROCESS AGAINST APPROVED EVIDENCE**

Compare the proposal with financial trends and relevant prior commitments.

**03** **EVALUATE EVIDENCE QUALITY**

Distinguish verified, limited, inaccessible and missing evidence.

**04** **SURFACE RISK + UNCERTAINTY**

Flag unsupported assumptions, missing demand evidence and governance risks.

**05** **KEEP MANAGEMENT IN CONTROL**

The agent advises; finance and leadership validate and decide.

***IPES: INPUTS → PROCESS → EVIDENCE / EVALUATION → SUPPORT / DECISION OUTPUT***
***Design principle: Evidence > Assumption > Intuition***

# ALTERNATIVES | FIVE TEAM BOT PROTOTYPES

| Prototype | Primary Orientation | Strength | Limitation / Focus Gap |
|---|---|---|---|
| Krish Gupta — | Focused decision | strongest Fit with the define managerial problem. | Less differentiated |
| Krishnakant Agarwal — BYJU'S Spending-Governance Evidence Assistant | Evidence-led spending governance + pre-commitment decision support | Strongest alignment with the defined governance problem | SELECTED PROTOTYPE |
| Shakeb | General assistance | Conversational support | Less clearly differentiated as a structure diagnostic system |
| Palak Bansal | Growth focused diagnosis | Broader growth framing | Less Evidence control |
| Purvanshi Mittal | Boardroom level, strategic framing | Strong strategic orientation | More tightly, tight to evidence, diagnosis. |

***FINAL BOT LINK —***

**Krishnakant Agarwal**

# SELECTION | WHY THIS AGENT?

## SELECTED: BYJU'S SPENDING-GOVERNANCE EVIDENCE ASSISTANT — KRISHNAKANT AGRAWAL

*Best fit with the managerial problem, evidence architecture, IPES framework and human-accountability requirements.*

1. **Problem Fit: Directly addresses the lack of a consistent evidence-based spending gate.**
2. **Evidence Discipline: Uses approved evidence and distinguishes evidence from assumptions.**
3. **IPES Alignment: Connects proposal inputs to process, evidence/evaluation and decision-support output.**
4. **Uncertainty Handling: Flags missing, limited, inaccessible and unsupported evidence.**
5. **Human Accountability: Supports management without approving or executing decisions.**

***WHY IT WON: The selected agent connects high-stakes spending proposals to evidence, uncertainty and human review before funds are committed.***

*Selection based on alignment with the approved problem definition, evidence requirements, IPES solution design and human-in-the-loop guardrails.*

# FINAL SOLUTION | BYJU'S SPENDING-GOVERNANCE EVIDENCE ASSISTANT

| INPUTS | IPES PROCESS | EVIDENCE / EVALUATION | HUMAN REVIEW | SUPPORT / DECISION OUTPUT |
|---|---|---|---|---|
| • Proposed marketing / sponsorship / expansion spend<br>• Expected cost & benefit<br>• Customer / demand evidence | • Capture proposal<br>• Retrieve approved evidence<br>• Compare prior commitments<br>• Evaluate evidence quality | • FACT<br>• OBSERVATION<br>• INFERENCE<br>• HYPOTHESIS<br>• UNKNOWN<br>• VERIFIED / LIMITED | • Validate evidence<br>• Validate assumptions<br>• Review risk<br>• Request more evidence | • Evidence-backed flags<br>• No automated approval<br>• Finance & leadership decide |

**GUARDRAILS — NOT ALLOWED**

- Invent data or sources | Turn estimates into facts | Calculate unsupported ROI | Approve or reject spending
- Contact customers / distributors | Execute marketing actions | Issue company statements | Make final management decisions

***FINAL BOT — KRISHNAKANT AGRAWAL: [PASTE CLICKABLE BOT URL]***
***Core principle: Evidence > Assumption > Intuition***

# EXPECTED BENEFITS | HOW THE AGENT HELPS MANAGEMENT

### 1 FASTER PRE-COMMITMENT REVIEW

Structures relevant evidence before a major commitment is made.

### 2 BETTER SPENDING DISCIPLINE

Makes cost, benefit, evidence and uncertainty visible together.

### 3 EVIDENCE-BACKED INSIGHTS

Links conclusions to evidence status and highlights what remains unknown.

### 4 EARLY RISK DETECTION

Flags missing evidence, unsupported assumptions and governance risks.

### 5 REDUCED MANUAL EFFORT

Brings financial, spending, regulatory and customer evidence into one review workflow.

### 6 STRONGER HUMAN JUDGEMENT

Gives finance and leadership a structured starting point while keeping final decisions with humans.

***Faster + Clearer + Evidence-led Spending Decisions***

*The agent supports management judgement — it does not replace it.*